



KOSPI MARKET OPERATIONAL GUIDELINES ON FAIR DISCLOSURE

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§1. Purpose

The purpose of this Operational Guidelines on Fair Disclosure (hereinafter referred to as the “Operational Guidelines”) is to stipulate the matters necessary for the effective operation of fair disclosure system pursuant to [§20] of the KOSPI Market Disclosure Regulation (hereinafter referred to as “the Regulation”) (Amended on February 3, 2009; April 19, 2012)

§2. Definitions

The terms used in this Operational Guidelines shall have the same meanings given to them in the Regulation.

§3. Information subject to Fair Disclosure

(1) The “future business plans or management plans” in [§15(1)1] of the Regulation shall refer to the plans for a period up to the next three (3) years, which concern each of the following matters that have substantial influence on the overall business activities and performance of a company. In this case, the detailed description of such plans, including the objectives, activity schedule, size of estimated investment and expected outcome, shall be reported. (Amended on February 3, 2009)

1. New businesses planned;
2. Development of new markets;
3. Change in main business areas;
4. Change in company structure;
5. Production of new products;
6. Strategic alliances with other domestic and overseas corporations;
7. Development of new technologies; and
8. Change in the existing businesses (suspension, shutting down, disposal, etc.)

(2) The “estimates of or forecast on sales, operating income (losses), profits (losses) before taxes from continuing operations or net income (losses)” in [§15(1)2] of the Regulation shall refer to the estimations or forecasts about the sales, operating income (losses), profits (losses) before taxes from continuing operations or net income (losses) for a period up to the next three (3) years. In this case, the assumptions and basis of such estimations or forecasts shall clearly be stated in detail. (Amended on May 14, 2007; February 3, 2009)

(3) The “business performance such as sales, operating income (losses), profits (losses) before taxed from continuing operations or net income (losses) that are included in the annual report, semi-annual report and quarterly report (hereinafter referred to as “annual

reports, etc.”) that are released before submitting the annual reports, etc.” in [§15(1)3] of the Regulation shall refer to the business results, including sales, operating income (losses), profits (losses) before corporate tax from continuing operations, or net income (losses), stated in the annual reports, etc. that are not yet submitted at the time of releasing the information subject to fair disclosure, and in cases of releasing the monthly business results, it shall refer to the pertinent fair disclosure information among the monthly results. In this case, the comparable values, such as the performance indicators of the previous quarter or the same quarter of the previous year, shall be mentioned, and if the concerned period is longer than a quarter, the sales, operating income (losses), profits (losses) before taxes from continuing operations, or net income (losses) for the concerned period shall be reported alongside. However, this provision shall not apply to the case of an unavoidable circumstance due to the delay in closing the account of subsidiaries or special features in the accounting standard of concerned industry. (Amended on May 14, 2007; February 3, 2009)

(4) “From among the matters related to those set forth in Articles [§7] through [§11], the matters for which the reporting deadlines have not yet passed” in [§15(1)4] of the Regulation shall refer to, from among the matters corresponding to the criteria specified in Articles [§7] through [§11] of the Regulation, the matters that are not yet come under the disclosure obligation because the board of directors has not made its decision, or the matters not disclosed in accordance with Articles [§7] through [§11] of the Regulation although they clearly come under the disclosure obligation. (Amended on December 27, 2005; February 3, 2009; April 19, 2012)

§4. Prohibition of Roundabout Provision of Information subject to Fair Disclosure

Providers of fair disclosure information shall not provide the information subject to fair disclosure in a roundabout manner by using various ratios and scales of increases or decreases, etc.

§5. Fair Disclosure Information Providers

(1) For the officers under [§15(2)2] of the Regulation, it shall be regardless whether or not they are registered or in full-time status; for the directors under the same provision, the outside directors shall be included; and, for the auditors under the same provision, the members of audit committee shall be included. (Amended on February 3, 2009)

(2) “Any persons who hold an equivalent position” in [§15(2)2] of the Regulation shall refer to the persons who direct other persons to operate the business pursuant to [§401-2(1)] of the Commercial Act.

(3) The “employees” in [§15(2)3] of the Regulation shall refer to the persons, regardless

of their designations, who have entered into an employment contract that is subject to the Labor Standards Act. (Amended on February 3, 2009)

(4) “Staff-members of the department that handles the matters concerning the information subject to fair disclosure” in [§15(2)3] of the Regulation shall refer to the staff-members of the department that actually makes and implements the decisions about the works relating to the information subject to fair disclosure, who are directly or indirectly engaged in such works; and “staff-members of the department that is responsible for disclosure” shall refer to the staff-members of the department that actually makes the decisions on the contents and time of disclosure, etc. and the staff-members who are directly or indirectly engaged in the works relating to disclosure. (Amended on February 3, 2009)

§6. Receivers of Faire Disclosure Information

(1) The “officers” in [§15(3)] of the Regulation shall refer to the persons who fall under Paragraphs (1) and (2) of [§5]. (Amended on February 3, 2009)

(2) The “employees” in [§15(3)] of the Regulation shall refer to the persons who fall under [§5(3)]. (Amended on February 3, 2009)

(3) The “relationship of delegation” in [§15(3)1] of the Regulation shall refer to an agreement, regardless of its title, that states that the delegatee handles the affairs entrusted to him/her by the delegation of the delegator and falls under any of the followings: (Amended on December 27, 2005; February 3, 2009; April 19, 2012)

1. To request a lawyer to perform a lawsuit as an attorney;
2. To request an investment trader or an investment broker under the Act to handle the tasks relating to the preparation and submission of documents such as the securities registration statement; or
3. To request an underwriter or an accounting firm for such tasks as analysis of the value of securities.

(4) The “partnership” in [§15(3)1] of the Regulation shall mean, regardless of its name, that two (2) or more companies jointly run or cooperate in technology, production, capital, etc. in performing the business activities such as sales, product development, and investment, etc. (Amended on February 3, 2009)

(5) The “foreign professional investors” in [§15(3)3] of the Regulation shall refer to, regardless of their names, the financial institutions, investment companies, hedge funds and other companies performing similar functions, which operate financial businesses

by obtaining the permits or licenses pursuant to the financial laws and ordinances of foreign countries. (Amended on February 3, 2009)

(6) The “domestic and foreign corporations that conduct the same or similar businesses” in [§15(3)4] of the Regulation shall refer to the domestic and foreign companies that are not a broadcasting or press company according to the laws, but in reality provide the same or similar services that are performed by the broadcasting companies or press agencies by employing such means as Internet. (Amended on February 3, 2009)

(7) The “securities information sites” in [§15(3)5] of the Regulation shall refer to the Internet sites that are mainly concerned with the provision of information about the transaction of securities or KOSPI-listed corporations. (Amended on February 3, 2009)

(8) The “holders of the stocks of a KOSPI-listed corporation, who are expected to trade the concerned stocks by exploiting the information subject to fair disclosure” in [§15(3)6] of the Regulation shall refer to the holders of the securities issued by the concerned KOSPI-listed corporation, for which they have not made a written declaration not to buy or sell the stocks on the basis of the information received. (Amended on February 3, 2009; April 19, 2012)

(9) The “persons who are specified by the Exchange” in [§15(3)7] of the Regulation shall refer to the persons who fall under any of the followings: (Amended on February 3, 2009; June 29, 2017)

1. A person who provides advisory services with respect to the exercise of voting rights; or
2. In cases where the provider of fair disclosure information intends to selectively provide the fair disclosure information to the persons noted in subparagraphs 1 through 6 under [§15(3)] of the Regulation, a person who can easily access the means of providing the information to and obtain it.

§7. Notification Deadlines, etc.

(1) When a KOSPI-listed corporation intends to release the information subject to fair disclosure by organizing investor relations seminars or other meetings, it shall notify the Exchange of its intention before the opening of the seminars or meetings.

(2) Notwithstanding the notification deadline set forth in the main sentence of [§15(4)] of the Regulation, KOSPI-listed corporations shall make an effort to notify the Exchange at least ten (10) minutes before releasing the information subject to fair disclosure of the concerned information. (Amended on February 3, 2009)

(3) “In cases where such information was released due to a minor negligence or error” in the proviso to [§15(4)] of the Regulation shall refer to the cases where there was a misunderstanding on the part of the fair disclosure information provider that the Exchange has already been notified of the information to be released or the information to be released is not subject to fair disclosure. (Amended on February 3, 2009)

(4) When a KOSPI-listed corporation makes the notification according to the proviso to [§15(4)] of the Regulation, such notification shall be made under the name of the representative director (in the case of a corporation with the executive director system, it refers to the chief executive officer) of the concerned KOSPI-listed corporation. (Amended on February 3, 2009; April 19, 2012)

(5) In cases where a provider of fair disclosure information releases the information subject to fair disclosure that is not notified to the Exchange at an investor relations seminar, press conference, informal discussion with press, conference call, etc., the concerned KOSPI-listed corporation shall notify such fair disclosure information to the Exchange without delay. (Amended on February 3, 2009)

(6) In cases where a provider of fair disclosure information has released the information subject to fair disclosure to the receivers of fair disclosure information during an informal discussion, etc. held before the market opening time, the concerned KOSPI-listed corporation shall notify the Exchange of such release by ten (10) minutes before opening of pre-hours session of the same day (in cases where the pre-hours session is not opened, by thirty (30) minutes before the opening of regular session). (Amended on December 27, 2005; February 3, 2009)

(7) In cases where a KOSPI-listed corporation has become obligated to disclose the fair disclosure pursuant to Articles [§15] through [§17] of the Regulation, but cannot use the Exchange’s electronic disclosure system due to the closing of the system’s notification receiving time, the notification shall be made by ten (10) minutes before the opening of pre-hours session of the next trading day (if the pre-hours session is not opened, by thirty (30) minutes before the opening of the regular session). (Amended on December 27, 2005; February 3, 2009)

§8. Notification Methods

(1) In cases where a KOSPI-listed corporation makes a notification pursuant to [§17(1)] of the Regulation, the notification shall be prepared in accordance with the applicable forms noted in Articles [§7] through [§11] of the Regulation. (Amended on December 27, 2005; February 3, 2009; April 19, 2012)

(2) KOSPI-listed corporations shall include the name of the disclosure officer and staff-member responsible for disclosure, as well as the departments and contact numbers

relating to the concerned information subject to fair disclosure, in the notification, so that the investors may inquire about the specifics relating to the disclosed information without difficulties. (Amended on February 3, 2009)

(3) “Where the details to be notified are extensive” in [§17(2)] of the Regulation shall refer to the cases where the volume of the documents relating to the reporting of the information subject to fair disclosure, including the information released at the business presentations, exceeds 3 mega bits or the Exchange deems it to be extensive. (Amended on February 3, 2009)

(4) In cases where a KOSPI-listed corporation reports the summarized information pursuant to [§17(2)] of the Regulation, such KOSPI-listed company shall state the methods of accessing the original documents, such as the address of company homepage, in the summary document. (February 3, 2009; April 19, 2012)

§9. Exceptions in Applying Fair Disclosure Obligations

(1) The “coverage for news reporting” in subparagraph 1 under [§18] of the Regulation shall refer to a series of activities taken by an employee of a newspaper or broadcasting company, which generates newsworthy information by collecting and synthesizing information gathered through a personal visit to KOSPI-listed corporations or contact with the officers or employees of KOSPI-listed corporations, in order to satisfy the public’s right to know. In this case, when a KOSPI-listed corporation makes available fair disclosure information through a news release, press conference, press gathering, conference call, etc., the exemptions in application of fair disclosure obligation shall not apply. (Amended on February 3, 2009)

(2) The “persons who are required to keep confidentiality” and the “persons who have clearly stated to keep the confidentiality” in items a and b of subparagraph 2 under [§18] of the Regulation shall refer to the persons who are under the obligation of any of the following contracts: (Amended on February 3, 2009; April 19, 2012)

1. Contract authorizing law firms or lawyers, which are subject to the Attorneys-at-Law Act, to provide the legal advices, act as a proxy for the delegated affair, and handle the legal proceedings.

2. Contract authorizing certified public accountants, who are subject to the Certified Public Accountant Act, to provide consulting services relating to external audit, management or securities business; to be an agent for tax reconciliation and accomplishment of tasks relating to foreign capital inducement; to appraise the business worth for mergers and assess the assets or debts for commencement of rehabilitation procedures; and to carry out the tasks of managing overseas corporations, etc.

3. Contract authorizing certified public tax accountants, who are subject to the Certified Public Tax Accountants Act, to be an agent for filings, applications and claims relating to taxation; to prepare the documents relating to taxation such as a statement for tax reconciliation; to act as an agent for tax matters, including consultations and advices on tax matters; etc.

4. Underwriting agreements entered into with underwriting syndicates, including the lead managing underwriter who assumes the task of underwriting (limited to the case where the confidentiality obligation is clearly stated in the underwriting agreement).

5. Loan agreements with financial institutions (limited to the case where the officers and employees of the concerned financial institution that have explicitly agreed to keep the confidentiality through a written statement). However, in case of an agreement relating to loans and other routine matters made with the financial institutions pursuant to the Banking Act, a written statement to keep the confidentiality is not required.

6. Agreements for implementation of the business normalization plan that was arranged between a corporation and its creditor financial institutions in accordance with the Corporate Restructuring Promotion Act (limited to the case where the council of creditor financial institutions or the principal creditor bank has agreed to keep the confidentiality through a clearly written statement).

7. Other contracts entered into with persons who have certificates of qualification or licenses in specific fields for the fulfillment of tasks detailed in the contracts, which require specialized knowledge (limited to the case where, in the course of performing the delegated tasks, the persons are under the obligation to keep the confidentiality in accordance with the relevant laws and regulations).

(3) In the event where the persons specified in each item of subparagraph 2 under [§18] of the Regulation take actions on behalf of a KOSPI-listed corporation as an agent, such person shall become a provider of fair disclosure information. (Amended on February 3, 2009)

§10. Relationship with Timely Disclosure

(1) In the event where the matters which have already been disclosed pursuant to [§15] and [§16] of the Regulation fall under Articles [§7] through [§11] of the Regulation, the concerned KOSPI-listed corporation shall report such fact in accordance with the applicable regulation. (Amended on December 27, 2005; February 3, 2009; April 19, 2012)

(2) In the case of Paragraph (1), when the details of the information already disclosed were changed, the fact that the contents of the fair disclosure made previously has been changed shall be stated in the report that is made pursuant to Articles [§7] through [§11] of the Regulation. In such case, it shall be deemed that the report specified in [§45] of the Regulation has been made. (Amended on December 27, 2005; February 3, 2009; April 19, 2012)

§11. Due Care and Other Duties of KOSPI-listed Corporations

(1) KOSPI-listed corporations shall take due care not to make mistakes or omissions of material information with respect to the preparation of fair disclosure documents. (Amended on December 27, 2005; September 23, 2008; February 3, 2009)

(2) In preparing disclosure documents, KOSPI-listed corporations shall use terminology that facilitates the understanding of details of the disclosure, and shall not use terminology that exaggerates or distorts the details. (Amended on February 3, 2009)

(3) In the cases other than those coming under [§18] of the Regulation, KOSPI-listed corporations shall make the efforts necessary to fulfill the fair disclosure obligations, including the in-house training for the fair disclosure information providers, so that the providers can make appropriate responses to the inquiries about the information subject to fair disclosure made by the receivers of fair disclosure information. (Amended on February 3, 2009)

(4) In addition to Paragraphs (1) through (3), KOSPI-listed corporations shall faithfully fulfill and comply with the requirements and requests that the Exchange makes in relation to the fair disclosure. (Amended on February 3, 2009)

ADDENDA
(January 27, 2005)

§1. Effective Date

This Operational Guidelines shall become effective on the day when the Korea Exchange is incorporated.

§2. Abolition of the former Operation Guidelines on Fair Disclosure

The Operational Guidelines on Fair Disclosure of the Korea Stock Exchange shall be abolished on the effective date of this Operational Guidelines.

§3. Interim Measures

The actions taken in accordance with the Operational Guidelines on Fair Disclosure of the Korea Stock Exchange shall be deemed to be the actions taken in accordance with this Operational Guidelines.

ADDENDUM
(December 27, 2005)

This Operational Guidelines shall become effective on April 1, 2006. However, the amended provisions of [§7] shall become effective on January 1, 2006.

ADDENDUM
(May 14, 2007)

§1. Effective Date

This Operational Guidelines shall become effective on May 17, 2007.

§2. Special Case in Application

The amended provisions of [§3(2) & (3)] shall apply starting from the fiscal year that begins after the end of December 31, 2006.

ADDENDUM
(September 23, 2008)

This Operational Guidelines shall become effective on October 1, 2007.

ADDENDUM
(February 3, 2009)

This Operational Guidelines shall become effective on February 4, 2009.

ADDENDUM
(April 19, 2012)

This Operational Guidelines shall become effective on April 23, 2012.

ADDENDUM
(June 29, 2017)

This Operational Guidelines shall become effective on July 3, 2017.